

## vengeanceaiUSCMODEL9 — Assumptions List

Ticker: FICO. Plain list only (no charts). Each item includes What / How / Why / Source. Download URL: [https://raw.githubusercontent.com/vengeanceaiUSC/Rainmaker/cursor/vengeanceaiusmodel9-d3ac/FICO/output/MODEL9\\_FICO\\_ASSUMPTIONS\\_LIST.pdf](https://raw.githubusercontent.com/vengeanceaiUSC/Rainmaker/cursor/vengeanceaiusmodel9-d3ac/FICO/output/MODEL9_FICO_ASSUMPTIONS_LIST.pdf)

Exit context: BASE 17.5x EV/EBITDA (peer median ~18.1x; bull 25.0x; bear 12.8x). WACC ≈ 9.24%.

Working Capital forecasting has been transitioned from a top-down NWC % of sales methodology to a bottom-up approach using DSO and DPO historical drivers to eliminate artificial cash flow distortions.

Depreciation uses  $(\text{Opening PPE} + \text{CapEx}/2) \times \text{DA}\%$ , the non-circular form of average net PP&E; depreciation (equivalent to mid-year CapEx convention).

### A. Three-Statement Forecast Assumptions

#### Row 7: Revenue Growth

**What it is:** Year-over-year % increase in revenue for each forecast year.

**How set in model:** Yellow POLICY input: 27% / 16% / 13% / 10% / 7%.

**Why this choice:** Y1 ≈ company FY2026 revenue guidance (~\$2.53B / FY25 \$1.991B – 1 ≈ 27%). Then fade toward terminal g=3% (not straight-lined). This is the main forward-looking judgment; it drives Rev → GP → EBT → Net Earnings → CF.

Source: SEC EX-99.1 Q3 FY2026 — updated FY2026 revenue guidance \$2.53B

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>

#### Row 8: COGS % of Revenue

**What it is:** Cost of revenues as a % of sales (gross margin = 1 – this).

**How set in model:** Excel equation: I25/I24 (FY25 COGS ÷ FY25 Revenue) held flat.

**Why this choice:** Locks in latest reported cost structure (~17.8%). Scores mix is high-margin; holding FY25 is conservative vs further mix shift.

Source: SEC 10-K FY2025 — Cost of revenues / Total revenues

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

#### Row 9: SG&A; % of Revenue

**What it is:** Operating opex (SG&A;) as % of sales.

**How set in model:** Equation:  $\text{MAX}(15\%, (I28 - 10,922)/I24 - 75\text{bps} \times \text{year})$ . Strips FY25 restructuring; then –0.75% of sales each year.

**Why this choice:** MODEL9: restore software operating leverage. Floor 15%; grind –75 bps/yr so SG&A; can scale toward mid-teens as revenue expands (not stuck ~24–25%).

Source: SEC 10-K FY2025 — SG&A; + restructuring note

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

#### Row 10: R&D; % of Revenue

**What it is:** Research & development expense as % of sales (IS label: R&D;, not Rent).

**How set in model:** Excel equation: I29/I24 held flat (~9.46%).

**Why this choice:** FICO reinvests steadily in analytics/software. Flat % grows dollars with revenue.

Source: SEC 10-K FY2025 — Research and development

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

#### Row 11: D&A; % of PPE

**What it is:** Depreciation rate from FY25; dollars =  $(\text{Opening PPE} + \text{CapEx}/2) \times \text{DA}\%$ .

**How set in model:** Rate = I30/I44 (FY25 DA ÷ FY25 PPE). Forecast DA\$ =  $(\text{Open} + \text{CapEx}/2) \times \text{rate}$ .

**Why this choice:** MODEL9: Depreciation uses  $(\text{Opening PPE} + \text{CapEx}/2) \times \text{DA}\%$ , the non-circular form of average net PP&E; depreciation (equivalent to mid-year CapEx convention). Half of current CapEx is treated as in service for the year

(mid-year convention) without a circular closing-PPE loop.

Source: SEC 10-K FY2025 — D&A; and PP&E;

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

## Row 12: Interest % of Debt Open

**What it is:** Interest expense as % of opening debt balance.

**How set in model:** Excel equation: I101/I98 (FY25 interest ÷ FY25 opening debt in schedule).

**Why this choice:** Approximates average coupon / cost of debt on the book. Debt held flat (issuance = 0), so interest stays linked to that stock.

Source: SEC 10-K FY2025 — Interest expense; see also 8-K 6.250% notes

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

## Row 13: Tax Rate (% of EBT)

**What it is:** Effective book tax rate applied to forecast EBT.

**How set in model:** Excel equation: I35/I33 (FY25 tax ÷ simplified FY25 EBT in this template).

**Why this choice:** Uses reported effective rate (~19% on template EBT; ~18.8% on 10-K EBT). UFCF in DCF also uses unlevered EBIT × t.

Source: SEC 10-K FY2025 — Provision for income taxes / Income before taxes

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

## Row 15: DSO — Accounts Receivable (Days)

**What it is:** Days Sales Outstanding.  $AR = Revenue \times DSO / 365$ .

**How set in model:** Excel equation: ROUND(I42/I24×365, 0) from FY25; held flat each forecast year.

**Why this choice:** MODEL9: Working Capital forecasting has been transitioned from a top-down NWC % of sales methodology to a bottom-up approach using DSO and DPO historical drivers to eliminate artificial cash flow distortions. Row 15 is DSO again (not NWC%). AR is organic from collections days — no top-down NWC% AR plug.

Source: SEC companyfacts XBRL — AccountsReceivable / Revenue

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

## Row 16: Inventory (Days)

**What it is:** Inventory days ( $Inv = COGS \times days/365$ ).

**How set in model:** Hard zero — FICO is software / scores; inventory is immaterial.

**Why this choice:** No inventory cycle to fund.

Source: SEC 10-K FY2025 — Inventory ≈ \$0

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

## Row 17: DPO — Accounts Payable (Days)

**What it is:** Days Payable Outstanding.  $AP = COGS \times DPO / 365$ .

**How set in model:** Excel equation: ROUND(I48/I25×365, 0) from FY25; held flat.

**Why this choice:** MODEL9: DPO is an explicit WC driver paired with DSO.  $NWC = AR + Inventory - AP - Deferred$  (output);  $\Delta NWC = NWC_t - NWC_{t-1}$ .

Source: SEC 10-K FY2025 — Accounts payable

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

## Row 18: CapEx % of Revenue

**What it is:** Capital investment (PPE + capitalized software) as % of sales.

**How set in model:** Equation: fade from I68/I24 toward 1.0% steady. MODEL9 weights 40%→20%→10%→0%→0% on the peak (fast fade).

**Why this choice:** Prior path left CapEx ■ D&A; (~\$80M cumulative drag). Fade to maintenance ~1% so CapEx ≈ D&A; by Y5 (terminal cash conversion).

Source: SEC 10-K FY2025 — PP&E; purchases + capitalized software

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

## Row 19: Debt Issuance (Repayment)

**What it is:** New borrowing (+) or repayment (–) in the forecast.

**How set in model:** POLICY input = 0 every year.

**Why this choice:** Hold debt stock flat at FY25 level for the explicit period; interest follows. Net debt for DCF equity bridge uses the later 10-Q amount separately.

Source: SEC 10-Q Q3 FY2026 — debt stock (financing excluded from FCFF)

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000030/fico-20260630.htm>

## Row 20: Equity Issued (Repaid)

**What it is:** New equity issued (+) or buybacks (–) in the forecast BS/CF.

**How set in model:** POLICY input = 0 every year.

**Why this choice:** Buybacks are real historically but are financing — excluded from FCFF. Share count for \$/share is the spot shares outstanding assumption.

Source: Damodaran FCFF framework — financing (buybacks) not in FCFF

Source URL: [https://pages.stern.nyu.edu/~adamodar/New\\_Home\\_Page/datafile/histfcff.html](https://pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/histfcff.html)

## B. DCF Assumptions

### DCF-D5: Tax Rate (unlevered)

**What it is:** Effective tax rate used for FCFF NOPAT and after-tax cost of debt.

**How set in model:** Linked live to 3-Statement!J13 (= FY25 tax / simplified EBT).

**Why this choice:** DCF must use the same  $t$  as the 3-statement forecast.

Source: SEC 10-K FY2025 — via 3S J13

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

### DCF-D6: WACC (discount rate)

**What it is:** Weighted average cost of capital for XNPV of FCFF + TV.

**How set in model:** CAPM live formula  $\approx 9.24\%$  ( $W_e \times K_e + W_d \times R_d (1-t)$ ).

**Why this choice:** Market-consistent discount rate from  $R_f$ ,  $\beta$ , ERP, and note coupon.

Source: FRED DGS10 / Damodaran ERP / Yahoo  $\beta$  / 8-K 6.250% notes

Source URL: <https://fred.stlouisfed.org/series/DGS10>

### DCF-D7: Perpetual Growth (g)

**What it is:** Long-run growth used only in the Gordon TV cross-check.

**How set in model:** POLICY input = 3.0%.

**Why this choice:** Long-run nominal GDP-like floor; primary TV uses exit multiple.

Source: Damodaran long-run growth framing

Source URL: [https://pages.stern.nyu.edu/adamodar/New\\_Home\\_Page/datafile/histimpl.html](https://pages.stern.nyu.edu/adamodar/New_Home_Page/datafile/histimpl.html)

### DCF-D8: Exit EV/EBITDA (BASE)

**What it is:** Terminal enterprise value multiple on Year-5 EBITDA.

**How set in model:** POLICY BASE 17.5x; Bull 25.0x; Bear 12.8x. Peer set: EFX 13.88x, VRSK 17.42x, SPGI 18.11x, MCO 22.20x, MSCI 23.74x. Median  $\approx 18.11x$ .

**Why this choice:** Base 17.5x is near the public peer median (18.1x), between Gordon-implied bear and spot/bull.

Source: VCP Scanner FICO peer EV/EBITDA comps

Source URL: <https://vcpsscanner.com/valuation/fico/relative>

## DCF-D13/D14: Debt & Cash (equity bridge)

**What it is:** Gross debt and cash+marketable securities for EV → equity.

**How set in model:** 10-Q Q3 FY2026 totals (more current than FY25 3S balances).

**Why this choice:** Bridge should reflect the latest capital structure; 3S FY25 shown as reference.

Source: SEC 10-Q Q3 FY2026

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000030/fico-20260630.htm>

This PDF is the canonical printable assumptions list for the workbook. Filings and data sources remain clickable in Excel columns U/V; column W on every assumption row links back to this file.